Top Down Analysis

Top Down Analysis is basically using the monthly or weekly timeframe to confirm the overall direction of the trend. Then, using the daily time frame to identify whether price is consolidating (moving sideways), trending or retracing. The daily time frame is also a favorable timeframe to draw major support and resistance levels. Once you know what price is doing on the daily time frame, you can now drop down to the lower timeframes like 4 Hour and 1 Hour to look for possible setups for entries or exits. Hence, the lower timeframes provides a detailed view of what is going on in the higher timeframes. For example, 1 monthly candlestick consists of 4 weekly candlesticks and 1 weekly candlestick consists of 5 daily candlesticks. So, 1 monthly candlestick basically consist of 20 daily candlesticks that can be evaluated to gauge the probability that price action will eventually continue with the larger trend and increase the odds of success for a trade

Long Term (Trend)	Mid-Term (Origin)	Trade	Order
Uptrend	Uptrend	WAIT	No Order
Uptrend	Downtrend	BUY	Trailing Buy Stop
Downtrend	Downtrend	WAIT	No Order
Downtrend	Uptrend	SELL	Trailing Sell Stop